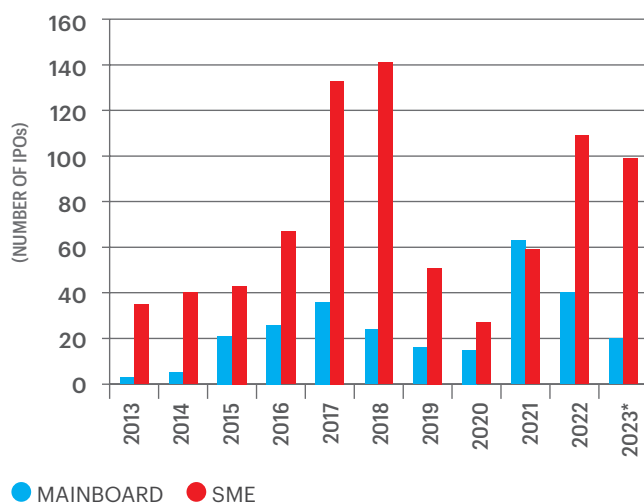


SMALL IS BEAUTIFUL

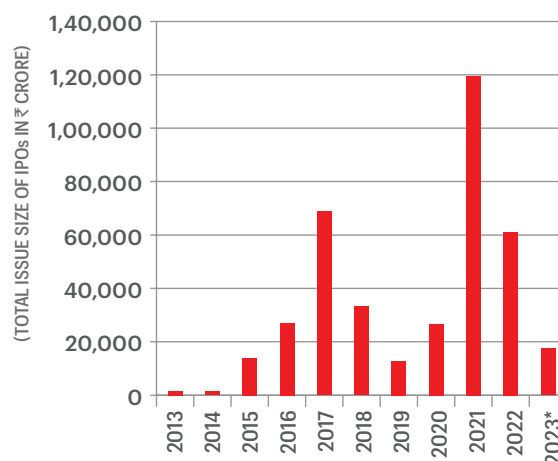
THE NUMBER OF SME IPOs HAS SURGED AFTER THE BLIP OF 2021 WHEN THERE WERE MORE MAINBOARD IPOs

2021 WAS ALSO A RECORD YEAR IN TERMS OF OVERALL ISSUE SIZE

SMEs Dominate



Funding Tally



* DATA TILL AUGUST; SOURCE: PRIME DATABASE

platform, and the total is around ₹17,500 crore. In comparison, more than ₹61,000 crore was raised in 2022 through nearly 150 public issues, and nearly ₹1.20 lakh crore was raised via 122 IPOs in 2021, the only calendar year till date when more than ₹1 lakh crore has been raised through primary issuances.

PLEASE WAIT, YOU ARE IN QUEUE

To go public, firms must first submit a draft document—called the draft red herring prospectus (DRHP) that includes all key information related to the company—to the capital markets regulator, the Securities and Exchange Board of India (Sebi), which gives its approval after checking that all the required due diligence has been done. This approval is valid for one year. In other words, the company has a window of 12 months from the day Sebi approves its IPO to launch the offer.

Data from primary market tracker Prime Database shows that there are nearly 70 companies that are in different stages of going public, with more than two dozen companies even ready with regulatory approval to launch their IPOs. Meanwhile, there are over 40 companies that have filed their DRHPs with Sebi and are awaiting the regulatory nod.

Pranav Haldea, Managing Director of Prime Database, says while there are many factors that trigger a rush to go public, investor sentiment, especially in the secondary market, plays a key role. “The primary market follows the secondary market, albeit with a lag. As a result, we will hopefully see several public issues hitting the market in the near future,” says Haldea.

“We have seen in the past as well that not all the approved IPOs will hit the market,” he says. Factors like investor appetite, the valuation expectations of promoters, and a downturn in the secondary market could impact the final decision. “Soon, the focus [will] also shift to the upcoming general elections, and you will see issuers adopting a wait-and-watch approach till the election results are out,” he adds.

Indeed, there are ample examples every year of companies that go through the complete backend process of launching an IPO but finally decide against it. This year has been no exception. As many as 29 companies have let their Sebi approvals lapse so far this year. This is slightly higher than last year’s count of 24.

That aside, the current pipeline, while quite robust in terms of numbers, is equally strong in terms of names as well. Companies like EbixCash, Tata Technologies,